

Amazon Q1 2026 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Amazon.com, Inc. (AMZN)
Report	Q1 2026
Release date	Wednesday 29 April 2026, after close
Earnings call	5:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 29 April 2026
Read mode	transcript and news only
Time to produce	52 minutes

Source material (read this first)

Headline financials

- Revenue \$181.5B, up 17% year over year, 15% excluding currency.
- Operating income \$23.9B at a 13.1% margin, the highest ever.
- AWS \$37.6B, up 28%, the fastest growth in more than three years, at a \$150B run rate. Backlog \$364B before the \$100B+ Anthropic deal.
- Advertising \$17.2B, up 22%. Q1 cash capex \$43.2B.

Forward guide

- Q2 net sales guided to \$194B to \$199B and operating income \$20B to \$24B.
- Capex continues at pace, aimed mainly at AWS and generative AI.

Hedges and concerns

- Memory component costs have skyrocketed and supply volatility threatens capacity.
- Higher transport and fuel costs plus about \$1B of LEO expense pressure Q2 margins.
- Rapid capex growth constrains free cash flow until the infrastructure monetizes.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Consensus looked for about \$177.2B of revenue, \$1.63 of EPS and AWS growth near 26%.
- The stock had recovered from the February capex shock but the \$200B spending plan still divided analysts.
- The AI capex debate was the backdrop for the whole megacap week, with Meta reporting the same day.

Candidate evidence quotes

1. “AWS is now a \$150 billion annualized revenue run rate business. It is very unusual for a business to grow this fast on a base this large” – Jassy, prepared remarks.
2. “The backlog for Q1 is \$364 billion. That does not include the recent deal with Anthropic for over \$100 billion” – Jassy, Q&A.
3. “Our cash CapEx is \$43.2 billion in Q1. This primarily relates to AWS and generative AI” – Olsavsky, prepared remarks.
4. “Trainium2 chip has about 30% better price performance than comparable GPUs” – Jassy, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.80

Rationale. Beats across the board, a record operating margin, AWS at its fastest growth in over three years and a \$364B backlog before the \$100B+ Anthropic deal. The cost pressures flagged are manageable next to that.

2 Directional signal

Signal: BUY

Rationale. Acceleration plus a record margin answers the exact question the capex bears were asking. BUY.

3 Structured summary

- **AWS and AI.** Accelerating at 28% with a giant backlog behind it.
- **Retail and advertising.** Healthy, and the total margin hit a record.
- **Margins and capex.** Spending remains huge but is now visibly monetizing.
- **Forward guide.** A strong Q2 range on both lines.

4 Evidence quotes

1. “AWS is now a \$150 billion annualized revenue run rate business. It is very unusual for a business to grow this fast on a base this large” – Jassy, prepared remarks (cloud).
2. “The backlog for Q1 is \$364 billion. That does not include the recent deal with Anthropic for over \$100 billion” – Jassy, Q&A (demand visibility).
3. “Our cash CapEx is \$43.2 billion in Q1. This primarily relates to AWS and generative AI” – Olsavsky, prepared remarks (spend).

— SEALED —

Overnight move and call verification

AMZN close, 29 April 2026 (release day)	\$263.04
AMZN open, 30 April 2026	\$273.17
Overnight move (release close → next open)	+3.85%

Call verification

- HOLD band test: $|+3.85\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, matching the correct call, so the call was **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+3.85%
D+1 close	+0.77%
D+3 close	+3.43%
D+5 close	+4.54%
D+10 close	+2.70%
D+20 close	+4.17%